

CloudScale Inc. - SaaS Master Services Agreement

Corporate Governance Policy Manual | Document Ref: MSA-2024-CS01 | Version 3.4

Clause 1: Provision of Services and Grant of License

CloudScale Inc. ("Vendor") hereby grants to Customer a non-exclusive, non-transferable subscription right to access and utilize the CloudScale Analytics Platform during the applicable Term in accordance with the Order Form and standard service terms.

Clause 2: Security and Encryption Safeguards

Vendor shall exercise commercially reasonable efforts and general industry standards to protect Customer Data against unauthorized destruction or loss. The specific encryption algorithms and key management practices shall be determined at Vendor's sole discretion.

Clause 3: Security Incident Notification

Vendor shall notify Customer in writing of any confirmed unauthorized intrusion resulting in actual data exfiltration within fifteen (15) business days following Vendor's internal completion of forensic investigation.

Clause 4: Subprocessor Engagement and Notice

Vendor reserves the operational right to engage third-party subprocessors and subcontractors at any time without prior customer notice or consent, provided Vendor maintains general oversight of such entities.

Clause 5: Customer Audit and Inspection Rights

Customer shall have no right to conduct on-site physical audits or inspect Vendor's server facilities. Any compliance inquiries must be submitted in writing and Vendor may, at its sole discretion and at Customer's expense, provide a summary security questionnaire once every three (3) years.

Clause 6: Limitation of Liability and Breach Damages

Under no circumstances shall Vendor's total aggregate liability arising out of or related to this Agreement exceed the total fees actually paid by Customer in the one (1) month preceding the incident, including in connection with data breaches, system outages, or confidentiality claims.

Clause 7: Data Retention and Deletion

Following contract termination, Vendor may retain copies of Customer Data indefinitely in archival backup systems, provided such data remains subject to Vendor's general privacy practices.

Clause 8: Invoicing and Payment Terms

Customer agrees to pay all undisputed invoices within ninety (90) calendar days of invoice receipt. Vendor reserves the right to charge late interest of 2.5% per month on any delinquent amounts.

Clause 9: Vulnerability Remediation and Patch Cycles

Vendor will address reported critical system vulnerabilities as part of its standard quarterly release cycle, unless emergency out-of-band updates are deemed essential by Vendor's engineering team.

Clause 10: Governing Law and Dispute Arbitration

This Agreement shall be governed by and construed in accordance with the laws of the State of Delaware, without giving effect to conflicts of law principles. Any dispute shall be resolved through binding arbitration under the rules of the American Arbitration Association in Wilmington, Delaware.

Clause 11: Marketing Publicity and Trademark Usage

Customer grants Vendor the limited right to display Customer's corporate name, logo, and trade marks in public customer lists, marketing materials, and corporate investor decks.

Clause 12: Force Majeure and Excused Delays

Neither party shall be liable for delay or failure in performance resulting from causes beyond its reasonable control, including acts of God, labor strikes, power failures, natural disasters, or government restrictions.

Clause 13: Customer Data Ownership and AI Training Restrictions

Customer retains exclusive title, ownership, and all intellectual property rights in and to Customer Data. Vendor processes data solely as a Data Processor pursuant to documented instructions and shall not use Customer Data to train artificial intelligence models or for commercial exploitation.

Clause 14: Multi-Factor Authentication Compliance

Vendor guarantees that multi-factor authentication (MFA) is strictly enforced across all administrative access points, customer portals, and developer APIs in full compliance with NIST 800-63B guidelines.

Clause 15: Cross-Border Data Residency Commitments

Vendor explicitly covenants that all customer personal data, telemetry, and compute operations shall be stored and processed exclusively within data centers situated inside the European Economic Area (EEA).